

# Kalshi Market Inefficiency Investigation

February 2026

Will Sullivan, Colby Whitehouse, Jack Decker

## PROJECT IDEA

From what we have learned in class, the most profitable way to trade is to trade with casual and inexperienced traders. As [Kalshi](#) promotes itself as an accessible betting market and is fairly new, we think there are inefficiencies in the market that we can take advantage of. We want to explore possible gaps that either guarantee profit or are highly likely to turn into profit, while mitigating the risk. For example, we have found a few markets, like one covering the [Olympics men's freestyle skiing event medal winners](#), with mutually exclusive outcomes where you can buy “NO” or “YES” contracts on every single market in an event and guarantee that you make money. In that example buying “NO” on every skier possible was cheaper than the guaranteed payout given that only 3 skiers could win a medal. Another example would be arbitrage opportunities with [crypto predictions](#). There are [markets](#) for crypto to be above a certain threshold at a certain time and also markets for crypto to be within a certain range at that same time. These markets don't align, so arbitrage opportunities exist between the two, and, combined, they can be used to better predict the price of crypto. We believe that there are further opportunities similar to the ones stated above that can be found in Kalshi, especially acting as a market maker, which has [no maker fees](#) in most markets.

## BACKGROUND INFO

Kalshi [event contracts](#) pay out \$1 per held contract of the correct side of a 2 sided Yes, No event and \$0 to anyone holding the incorrect side, so the price acts like the market's best guess of the odds. In theory, related markets should line up, especially when they are just different ways of describing the same event. But, in real trading, low liquidity, slow price updates, and people placing bets without proper information can make prices drift out of sync. When that happens, you can sometimes spot setups where the numbers don't make sense together and build positions that are hedged, close to risk-free, or at least strongly +EV. It also gives a way to test whether making markets and capturing spreads is more reliable than just taking directional bets.

## GOALS

We hope to be able to consistently find and exploit market inefficiencies to be able to profit from trading Kalshi contracts. We also hope to learn more about how to use markets to predict other markets and how to value assets and contracts to be better able to evaluate them. Our final deliverable will consist of two main parts. First, we will have a report of the data we collected, the strategies we tested, the results of the strategies, and any other findings. Second, we will have a program that will scan Kalshi markets looking for opportunities that fit within the parameters that we found with our research and either execute orders or instantly notify us of the opportunities.

## RESOURCES

Kalshi API ([link](#))